From Numbers to Words: Breaking Down Institutional Beliefs

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Background

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2. Dahlquist & Ibert (2024): Institutional return expectations from CMA are **countercyclical**. Good news for rational expectations models.

3. This paper: Dig into institutional return expections from CMA along many dimensions.
    - Drivers, pass-through to actions, link to realized returns, forecast errors, consensus convergence, history-anchoring, network complexity etc.

Summary

- Super impressive tour de force over 120 pages (main body) covering all areas in which belief data have been used in asset pricing
- Tons of interesting results! Difficult to summarize in a single page...

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This Discussion

1. What question are the authors after?
2. Advertise the main contribution (in my opinion).
3. Attempt to string together some of the results.
4. Brief comment on behavioural "bias" in CMA beliefs.

Comment 1: Defining the Question

"Our research question is straightforward: How does the joint analysis of CMA forecasts, their building blocks, their underlying assumptions, and the narratives in CMA documents reveal the mechanisms that drive cross-sectional and time-series variation in asset managers' beliefs?"

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My personal favorites

1. Unlike household beliefs, institutional beliefs are countercyclical (with large heterogeneity)
2. Decompose $\mathbb{E}$[Returns]: $\mathbb{E}[\Delta$Earnings] procyclical, $\mathbb{E}[\Delta$Valuation] countercylical.
3. Institutions put too little weight on $\mathbb{E}[\Delta$Valuation] (relative to ML benchmark).
4. $\mathbb{E}[\Delta$Valuation] and $\mathbb{E}[\Delta$Earnings] significantly affect portfolio allocations.
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6. Many many more findings, but some less related...

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Note that the data only has 15 time series observations...Perhaps useful to narrow the focus.

Comment 2: Advertising the main contribution

Start from Campbell Shiller decomposition, take subjective expections and rearrange

$$(1-\rho)pd_t = \underbrace{\mathbb{E}_i[\Delta d_{t+1}]}_{\text{Growth}} + \underbrace{\rho\mathbb{E}_i[\Delta pd_{t+1}]}_{\text{Valuation Change}} - \underbrace{\mathbb{E}_i[r_{t+1}]}_{\text{Expected Ret.}}$$

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- Institutions report **all 3 components** in their CMA $\rightarrow$ amazing!
- New hand-collected dataset.
- Can finally answer *why* subjective returns are pro or countercyclical

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1. Valuation-change countercyclical and growth expectations procyclical.
2. Valuation-change dominates causing countercyclical return expectations.
3. Very strong heterogeneity across institutions $\rightarrow$ Far from representative agent world!

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1. Great heterogeneity in investor beliefs. Key dimension: "Value" versus "Growth".
2. Extrapolators: overweight growth, ignore valuation $\rightarrow$ procyclical, wrong

   Prototype: Retail investor
3. Abitrageurs: more valuation-aware $\rightarrow$ countercyclical, line up with realized returns.

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   - 1. From Holdings: Expected valuation-change drive portfolio tilts $\rightarrow$ Points to beliefs.
   - 2. From Text: Very little talk about changing risk/aversion $\rightarrow$ Points to beliefs.

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5. Prices driven by interaction of rational valuation-aware investors providing liquidity to naive growth-focused extrapolators.
   - To me this looks a lot like the X-CAPM (Barberis et al., 2018)?
   - See also Hillenbrand & McCarthy (2025)

Comment 4: Behavioural Bias in CMA beliefs

- The authors find apparent "departure from rationality" in CMA beliefs:
  - They compute $cov(\mathbb{E}_{it}[\Delta\text{Valuation}], \mathbb{E}_{it}[\text{Growth}]) < 0$ from subjective beliefs (2008-2026).
  - And compare to $cov(\Delta\text{Valuation}_t, \text{Growth}_t) > 0$ from realized data (1871-2014)

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- Recall law of total covariance: $cov(X_t, Y_t) = cov(\mathbb{E}_t[X], \mathbb{E}_t[Y]) + \mathbb{E}[cov_t(X, Y)]$
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- Also: These are 10-year expectations, so we have just 1 independent observation from 2008-2026...

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Recommendations

With a specific economic question in mind, the empirical findings may be easier to string together and digest.